

Firsts Fund

A proposed, actively managed global equity UITF for young Filipinos whose first is five years or more away. It would own the businesses behind everyday life: power, water, networks, ports, airports, hospitals and the equipment they run on.

“Fund your firsts.”

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Proposed: ₱100 minimum · 1.50% a year
Recommended horizon: 5 years or longer

WHO IT IS FOR

An early-career Filipino saving for a first five or more years away

The suitable investor

Regular income from a first job, an affordable monthly contribution, one primary first at least **five years** away, and the risk tolerance for an equity fund that can fall in a bad year.

Not everyone aged 18 to 25 is suitable: a goal two years away belongs in a lower-risk fund, and the suitability check says so.

Illustrative monthly budget, first job

Take-home pay	₱25,000
Rent, food, transport	₱19,500
Emergency savings	₱2,500
Regular subscription to Firsts Fund	₱1,000
Left over	₱2,000

Illustrative only

0.52%

a year over five years from BPI's Philippine Equity Index Fund, after fees: one economy

4.19 pts

a year the closest global product trailed its own index: it buys other funds and adds a second fee layer

The gap

a peso-priced global fund that holds shares directly, with one fee layer

Essential is where we look. It is not the reason we buy.

Listed businesses that own, operate or supply capacity everyday life depends on, where replacing it is hard and the business earns from providing it.

Where we look: eight kinds of capacity

Own or operate: power generation & grids · water · digital networks (telecom, towers, data centres) · ports · airports & toll roads · **healthcare facilities (new)**

Supply: grid & power equipment · semiconductors

These define a research universe, not allocations.

What changed from our first draft

No blanket “non-tech” claim. Chipmakers are assessed like everyone else; NVIDIA is held, small.

No dated capacity target required. A target is evidence, not a ticket in.

Essential ≠ attractive. Every company must still pass the investment test at today's price.

Conglomerates need half their revenue in the theme: Siemens 29%, Hitachi 30%, Samsung 39%, Vinci 16% are out.

Three questions, asked in order, each with its own record

M

Map the milestone

What essential capacity does it provide, why is it hard to replace, and how does it earn from it?

Output: a thematic eligibility note

Pass or reject

V

Verify the investment

Is it an investable business at today's price, given its cash, debt and risks?

Output: a dated decision record

Eligible, watchlist or reject

P

Position the risk

What does it add to the portfolio, and what weight is justified?

Output: weights, overlap report, holdings-count rationale

Held at a number, or watchlist

The milestone is the story, not the reason to buy. Passing M does not guarantee V; passing V does not guarantee a position.

One global list. Material exposure, and a business that earns from it.

1 · Universe Up to the 20 largest listed companies by US-dollar value in each of the eight kinds of capacity, anywhere in the world: **140**

2 · Material exposure The main business is on our sub-industry list, or at least half of revenue comes from it. **7 out** (Siemens, Hitachi, Samsung, Vinci, Ferrovial, Mitsubishi Electric, Quanta)

3 · Earns from the capacity Positive operating cash flow and positive return on capital. **4 out** (LS Electric, Rede D'Or, Zhejiang Expressway, Atlas Arteria)

No country slots

No regions, no quota, no cap. Where the fund lands is an output of the tests.

Every holding gets an eligibility note

The capacity · why it is hard to replace (licence, network scale, permits, specialist skill, time to rebuild) · how it earns · the main competitive or regulatory risk

Can it carry its debt in a bad year, and is the price justified against its peers?

Reject
Debt under stress: interest cover after a shock set per type, at least 1.5×. Shock: water 10%, power and networks 15%, hospitals 25%, ports 30%, grid equipment 35%, chips 50%, airports 60%.

Leverage outlier: more than 2 turns above its type's median.
Investability: a position can't be built. **Governance:** on public record.

Watchlist
Cash conversion under 50% of EBITDA · price above 2× its type's median · merit in the bottom half of its type

Merit, among same-type peers
Half valuation (EV/EBITDA, and cash yield after maintenance spending), half quality (return on capital minus its cost)

Worked example · port operators (COSCO Ports and HHLA also fail the debt stress)

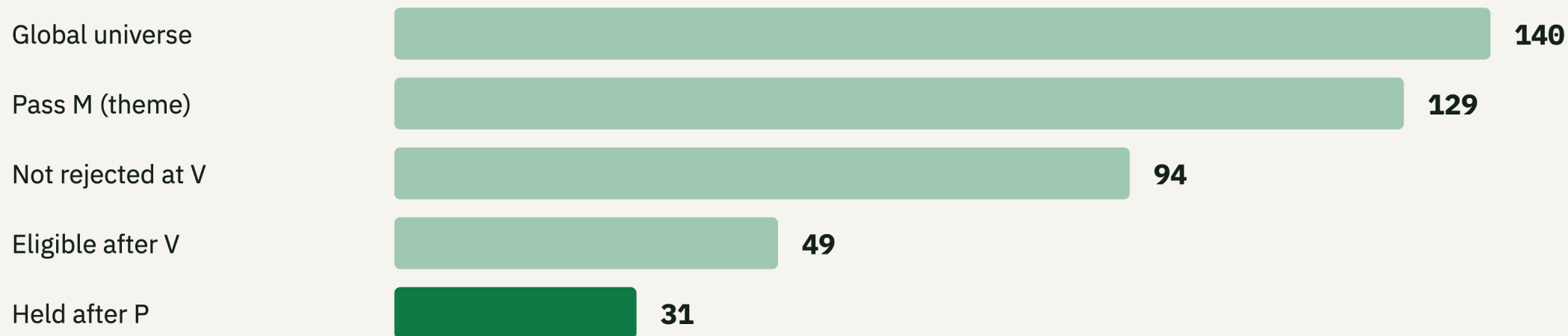
Operator	EV/EBI TDA	Cash yield	Gap	Decision
Westports	13.0×	5.7%	+14.3	Eligible · held
ICTSI	14.8×	5.0%	+13.9	Eligible · held
Kamigumi	8.8×	4.7%	+4.5	Eligible · watchlist (P)
China Merchants Port	8.5×	7.3%	−3.5	Eligible · watchlist (P)
JSW Infrastructure	32.4×	1.6%	+3.3	Watchlist: price
Qube	16.9×	2.1%	−3.6	Reject: debt stress
Adani Ports	19.7×	3.2%	+3.2	Reject: governance

Gap = ROIC – WACC, percentage points · Kamigumi and China Merchants passed V and lost at P (they added too little diversification)

Ratios: stockanalysis.com, trailing twelve months, read 8 Oct 2026 · stress shocks set per type from each type's worst observed episode, before any results were run

M, V AND P TOGETHER

140 companies in, 31 held, every exit recorded



Debt took 32: stress tests (Transurban, Fraport, Intel, Vodafone) and leverage far above peers (NextEra, American Tower)

Watchlist on price, 12: GE Vernova, Equinix, AMD, Arm, Apollo Hospitals; **on merit, 29**

Watchlist at P, 18: eligible but added too little diversification, e.g. Endesa, TSMC, Veolia, Verizon

Bar lengths are to scale · full decision record for all 140 companies in the supporting proposal

The holdings count and every weight come out of the process

Who gets in, in merit order

- 1 • **Not a duplicate:** weekly correlation with a same-type holding at most 0.80
- 2 • **A sensible size:** its risk-based weight is at least 1.0% of the fund
- 3 • **Adds diversification:** raises the diversification ratio by at least 0.5%

Result: **31 holdings**. No target count was set.

How much: equal risk contribution

Each holding is sized to add an equal share of the fund's risk, except where a limit binds (the eight telecoms share the 25% type limit), using only the previous three years of weekly peso returns, re-solved each quarter. Calm businesses get more money; volatile ones less.

Limit	Rule	Largest now
Single issuer	20% (BSP, regulatory)	5.81%
Company group	20% (internal)	Razon 4.80%
Kind of capacity	25% (internal)	Networks 25.00%
Liquidity	5 days at 20% of volume	None binding
Cash	Operating, ~3% (illustrative)	3.00%

No country quotas, no owner/supplier quotas, no fixed reserve. All limits met at all 21 quarterly rebalances.

BSP Circular 1234 (2026), as reproduced by RCBC Trust: 20% single-issuer ceiling for UITFs in exchange-traded equities; above 15% must be that issuer's listed shares · the 20% is a ceiling, not a target

31 holdings across eight kinds of capacity, plus 3% operating cash

Digital networks • 25.00%

KDDI JP **3.81** • AT&T US **3.77** • China Telecom HK **3.33** • China Mobile HK **3.29** • Saudi Telecom SA **2.97** • Bharti Airtel IN **2.97** • Deutsche Telekom DE **2.85** • América Móvil MX **2.01**

Healthcare facilities • 22.19%

Bangkok Dusit TH **4.49** • Sulaiman Al Habib SA **4.41** • Encompass US **3.78** • Mouwasat SA **3.52** • HCA US **3.19** • Bumrungrad TH **2.79**

Power & grids • 19.22%

Exelon US **5.81** • Engie FR **4.57** • E.ON DE **4.48** • Enel IT **2.98** • Vistra US **1.38**

Ports • 10.04%

Westports MY **5.23** • ICTSI PH **4.80**

Semiconductors • 8.13%

Qualcomm US **2.27** • Advantest JP **1.74** • NVIDIA US **1.64** • SK hynix KR **1.37** • Micron US **1.12**

Water • 7.68%

Guangdong Inv. HK **4.36** • Sabesp BR **3.31**

Grid & power equipment • 2.76%

HD Hyundai Elec. KR **1.65** • Siemens Energy DE **1.11**

Airports & toll roads • 1.98%

OMA MX **1.98**

A Filipino company that earned its place against every port operator in the world

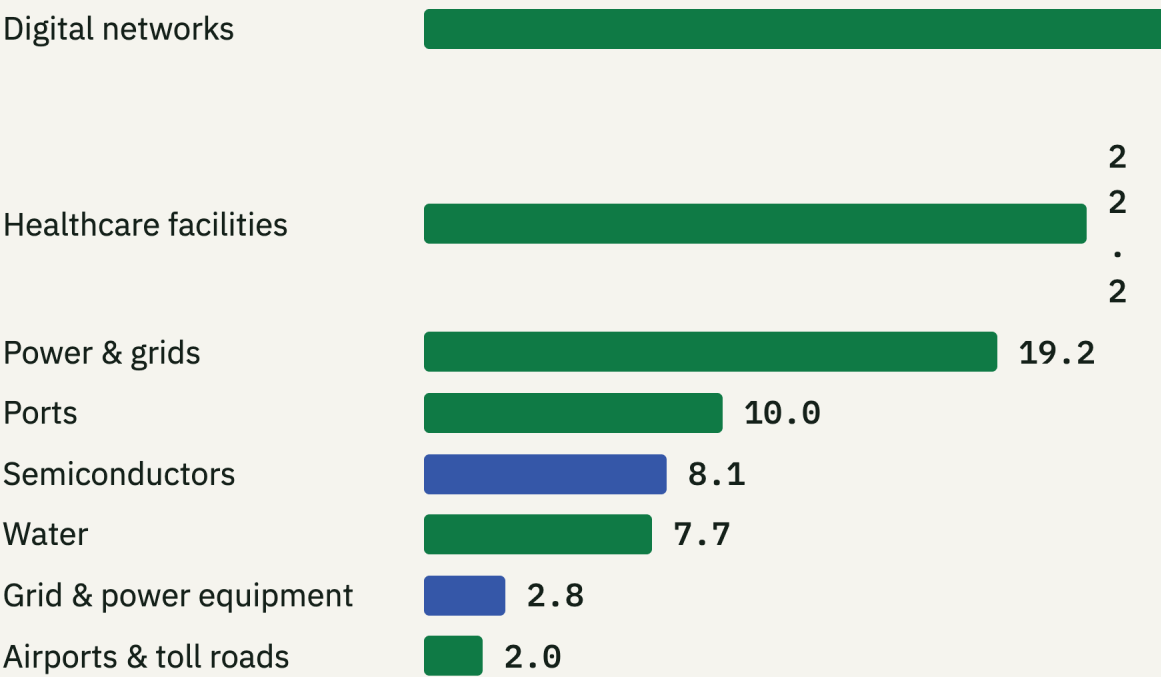
Theme & milestone	Global container-port operator; home base Manila International Container Terminal. Hard to replace: Multi-decade port concessions; MICT renewed for another 25 years in 2026. Earnings: Handling fees under long concessions in emerging markets. Supporting evidence: US\$300M to expand MICT, South Luzon and Mindanao terminals by 2028. <i>Story: First business: goods coming in and going out.</i>
Fundamentals & valuation	EV/EBITDA 14.8× (peer median 13.0×) · cash yield 5.0% (median 5.0%) · ROIC – WACC +13.9 pts (median +4.5) · merit #2 of 5 · net debt 2.18× EBITDA; interest cover 5.6× after a 30% EBITDA shock
Key risks	Emerging-market concession, currency and political risk
Portfolio role	Ports 10.0% of the fund with Westports. ICTSI's average correlation with the other holdings is 0.02, among the lowest: it moves on its own. It is our only Philippine holding.
Weighting rationale	4.80% = an equal 3.6% share of fund risk at 29.8% volatility. No limit binds. Not a home bias: the same rules applied to Kamigumi and China Merchants put them on the watchlist.

The AI chip leader is in the fund, and the risk model keeps it small

Theme & milestone	AI accelerator chips and data-centre networking. Hard to replace: CUDA software ecosystem and design scale competitors have not matched. Earns: Hardware and systems sales to cloud and enterprise data centres. <i>Story: Every first: the chips inside phones, laptops and data centres.</i>
Fundamentals & valuation	EV/EBITDA 28.4× (peer median 35.9×) • cash yield 2.3% (median 1.7%) • ROIC – WACC +75.7 pts (median +22.8) • merit #2 of 17 • net cash; stressed interest cover passes easily
Key risks	Customer concentration; export controls; AI capex cycle
Portfolio role	Semiconductors 8.1% of the fund across five names; with grid equipment, about 11% rides on the data-centre build-out. That overlap is reported, not hidden.
Weighting rationale	1.64%: its price swings 45% a year, so an equal 3.4% share of risk buys little. Equal weighting would hold 3.13%; that is the concentration we choose not to take.

Spread by what drives earnings, with every overlap reported

Weight by kind of capacity · bars scaled 0 to 25%, the limit



Green = owners/operators · blue = suppliers

Overlaps we report

Data-centre build-out (chips + grid equipment) 10.9% · US health policy (HCA, Encompass) 7.0% · Chinese state telecoms 6.6% · Saudi Arabia 10.9%

Countries are an output

US 23.0 · HK 11.0 · SA 10.9 · DE 8.4 · TH 7.3 · JP 5.6 · 8 others · listing country, not where revenue is earned

About 9.4 independent exposures; the two largest shared forces explain 25% of risk

Weights solved on data to 2 Oct 2026 · independent exposures = diversification ratio squared · countries by listing; ICTSI, América Móvil and others earn across many countries

THE QUESTION EVERY JUDGE WILL ASK

Why only 4.8% in Philippine companies?

4.80%

ICTSI, held

Second on merit of the five port operators that passed Verify's reject tests; earns 13.9 points above its cost of capital

Watchlist

Manila Water

Cheap at 8.2× EBITDA, but operating cash flow is only 28% of EBITDA, under our 50% test. It returns when cash catches up.

Outside

Meralco, PLDT, Globe, Aboitiz Power

Good companies below the 20 largest worldwide in their field: the same size floor every country faces

Our answer: we never set it. A quota would put the number in by assumption. The investor still saves, invests and redeems in pesos.

Philippine weight ranged 3.2%–5.3% across the 21 quarterly rebalances · Meralco US\$7.4bn and PLDT US\$3.9bn against a 20th-largest power or telecom company near US\$39bn

DOES THE RISK MODEL EARN ITS COMPLEXITY?

Same 31 holdings, three ways to weight them, same costs

	Risk model (ERC)	Inverse vol.	Equal weight
₱100 became	306	304	399
Return a year	25.0%	24.8%	31.8%
Volatility	10.2%	10.3%	12.3%
Worst fall	-7.4%	-7.8%	-8.9%
Semiconductors today	8.1%	8.1%	15.6%
Digital networks today	25.0%	34.1%	25.0%

Equal weight made more: 31.8% a year, because it held about twice as much in chips through the AI boom. It also swung more and fell further.

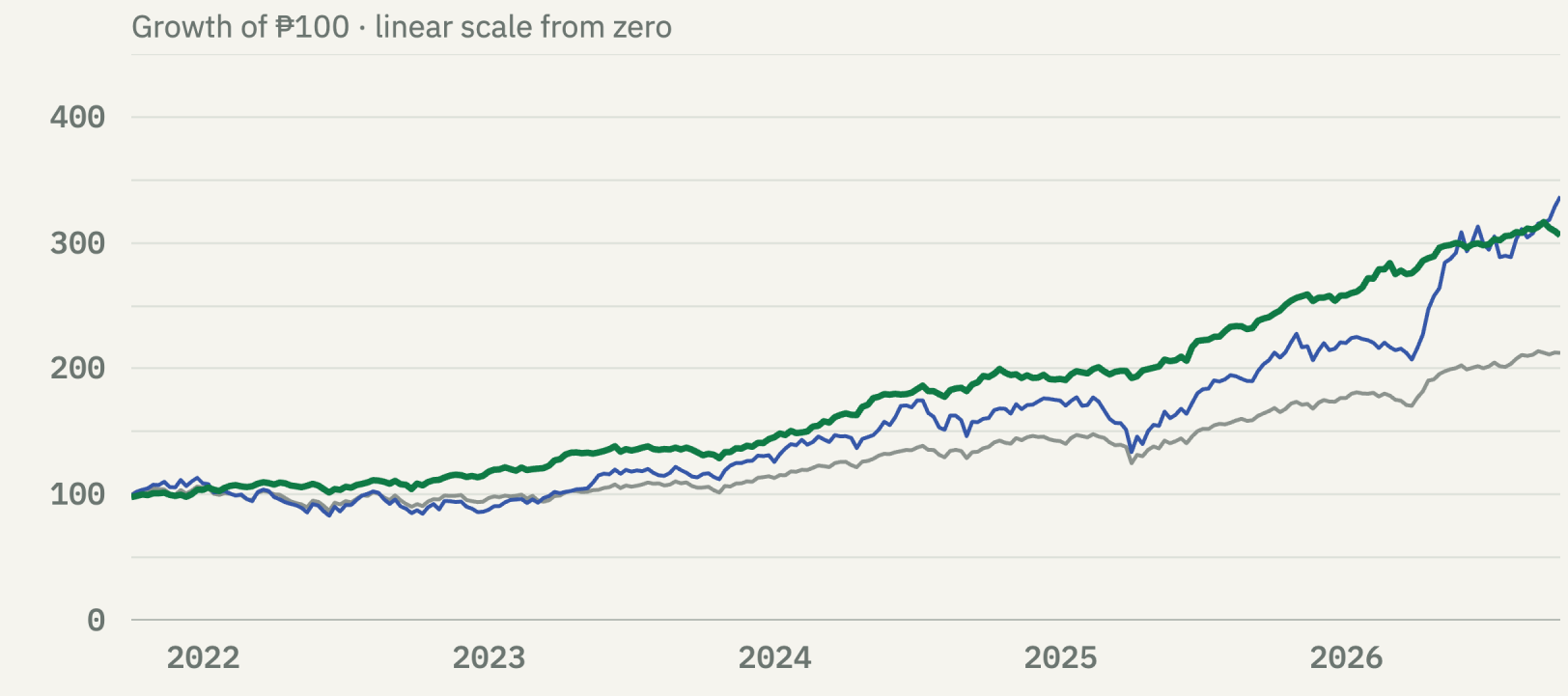
Inverse volatility came within 0.2 pts of the risk model, but without our limits: it would put 34.1% in telecoms, over the 25% limit. ERC applies the limits inside the solve and accounts for correlation.

We chose the method before testing and do not switch to the winner after the fact.

Weekly, 1 Oct 2021 – 2 Oct 2026, in pesos, after the 1.50% fee, 0.30% trading costs and estimated dividend withholding · historical performance of the currently selected portfolio, not a backtest of the process · inverse volatility and equal weight shown without the 25% type limit

HISTORICAL PERFORMANCE OF THE CURRENTLY SELECTED PORTFOLIO · AFTER ALL COSTS, IN PESOS

Five years: ahead of the world index, behind tech, with the smallest falls



	First s	Worl d	Tech
₱100 →	306	213	337
A year	25.0 %	16.2 %	27.4 %
Swings	10.2 %	14.8 %	23.6 %
Worst fall	-7.4 %	-18. 2%	-26. 6%
2022	10.6 %	-11. 4%	-23. 8%

— Firsts Fund
— MSCI ACWI ETF (reference)

How we defend it: these 31 were picked in October 2026 with today's numbers, so 25.0% is hindsight, not a forecast or a backtest of our process. The shallow falls (about 41% of the world index's worst) carry the same caveat; over 36 years the industry proxy's worst fall was 44%.

Weekly, 1 Oct 2021 – 2 Oct 2026 · weights re-solved quarterly with past data only · net of 1.50% fee, 0.30% trading cost (0.21% a year) and est. dividend withholding (0.37% a year); ETFs after their own costs · neither ETF is the fund's benchmark; the team will set one

PREVIOUS RULES VS REVISED RULES

Same five years, same costs: the new rules are more defensible, not proven better

	Previous (v3)	Revised (v4)
Holdings	21 (top 3 per type)	31 (process decides)
Philippines	9.6%	4.8%
Return a year	22.2%	25.0%
Volatility	10.8%	10.2%
Worst fall	-10.5%	-7.4%
Worst 12 months	-6.8%	+4.3%
2022	-0.5%	+10.6%
Independent exposures	about 5.9	about 9.4

What changed: no dated-target test, debt judged under a stress that fits each type, valuation against peers including cash yield, hospitals added, holdings count from the process, 20% regulatory ceiling instead of our 10% cap, operating cash instead of a 10% reserve.

Why the better numbers prove little: both lists were chosen with October 2026 data. The gain may mostly reflect hospitals and broader diversification in this period; we have not attributed it.

What we can claim: rules set before testing, each exit recorded, and less concentration.

Both: weekly, 1 Oct 2021 – 2 Oct 2026, in pesos, net of 1.50% fee, 0.30% trading costs, est. withholding, cash at BSP policy rate – 0.50 pt · v3 keeps its own 10% reserve and limits

Tech pays more, and asks more of the saver

36 years · Jan 1990 – Aug 2026 · industry proxy, context only

In pesos	Firsts method	Tech
Return a year	12.0%	15.7%
₱100 grew to	₱6,304	₱21,231
Volatility	15.3%	22.9%
Largest fall	-44.4%	-73.2%
Months to recover	69	192
Worst 12 months	-27.3%	-57.6%
Calendar years ahead	15.0 of 37	22.0 of 37

When it mattered · total over the episode

Episode	Firsts method	Tech
Dot-com	-9.8%	-70.1%
2008 crisis	-40.4%	-44.6%
COVID	-9.2%	4.6%
Rate shock, 2022	-12.4%	-21.0%

5 years · our 31 vs the global tech ETF

Return · worst fall	25.0% · -7.4%	27.4% · -26.6%
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Our defense: tech earned more, and we say so. A saver with a first five years away cannot plan around a -73% fall and 16 years under water.

36 years: industry proxy, context only: six US industries standing in for the eight types, same weighting (ERC, 25% type limit), 1.50% fee and trading costs, no company screens; tech = hardware, software, chips, lab equipment · 5 years: historical performance of the currently selected portfolio, with hindsight

Over 36 years, about the market's return, with shallower falls

36 years · Jan 1990 – Aug 2026 · industry proxy, context only

In pesos	Firsts method	Market
Return a year	12.0%	12.2%
₱100 grew to	₱6,304	₱6,915
Volatility	15.3%	15.6%
Largest fall	-44.4%	-46.8%
Months to recover	69	72
Worst 12 months	-27.3%	-30.4%
Calendar years ahead	19.0 of 37	18.0 of 37

When it mattered · total over the episode

Episode	Firsts method	Market
Dot-com	-9.8%	-26.9%
2008 crisis	-40.4%	-44.4%
COVID	-9.2%	-4.1%
Rate shock, 2022	-12.4%	-13.3%

5 years · our 31 vs the world index ETF

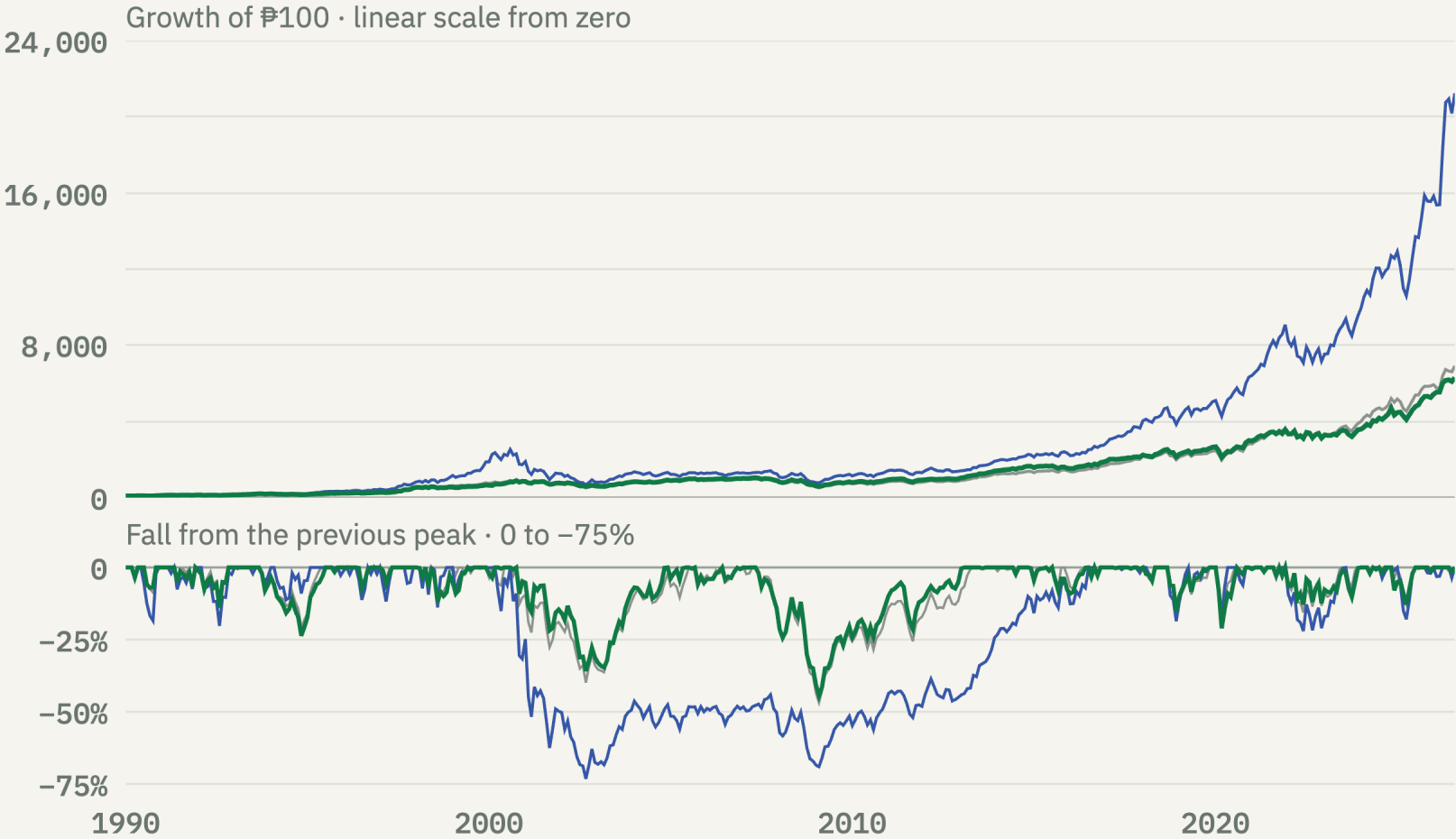
Return · worst fall	25.0% · -7.4%	16.2% · -18.2%
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Our defense: over the long run we do not beat the market on return (12.0% vs 12.2%). We offer about the same return with smaller worst falls, in a theme an investor can understand.

36 years: industry proxy, context only: six US industries standing in for the eight types, same weighting (ERC, 25% type limit), 1.50% fee and trading costs, no company screens; market = 97% US market + 3% cash, same fee · 5 years: historical performance of the currently selected portfolio, with hindsight

INDUSTRY PROXY, 36 YEARS · CONTEXT ONLY, NOT A TEST OF OUR COMPANY SCREENS

The method kept pace with the market and fell far less than tech



	First s	Mkt	Tec h
₱100 →	6,304	6,915	21,231
A year	12.0%	12.2%	15.7%
Worst fall	-44%	-47%	-73%
Months to recover	69	72	192

US industry returns (Kenneth French): utilities, telecom, transport, health services, electrical equipment, chips · same ERC, 25% type limit, 3% cash, 1.50% fee, 0.30% trading cost · BIS peso rates

Better in some crises, worse in others: no protection is promised

Crises · total over the episode

Episode	Firsts	Market	Tech
Asian crisis, Jul 1997 – Dec 1998	87.3%	99.4%	123.4%
Dot-com, Mar 2000 – Sep 2002	–9.8%	–26.9%	–70.1%
Global financial crisis, Nov 2007 – Feb 2009	–40.4%	–44.4%	–44.6%
COVID, Jan – Jun 2020	–9.2%	–4.1%	4.6%
2022 rate shock	–12.4%	–13.3%	–21.0%

Decades · a year

Period	Firsts	Market	Tech
1990s	20.8%	22.8%	34.1%
2000s	2.3%	–0.4%	–4.2%
2010s	12.3%	12.6%	15.2%
2020 – Aug 2026	13.9%	16.8%	24.1%

Calendar years ahead of the market: 19.0 of 37 · ahead of tech: 15.0 of 37

What we say: the method fell less than the market in the dot-com crash and in 2008, and did **worse** in COVID and gained less in 1997–98. It is an equity fund: it can lose a quarter of its value in a year.

US industry proxy, in pesos, after 1.50% fee and trading costs · the 1997–98 figures are positive because the peso fell sharply, raising the peso value of dollar assets

What a five-year saver actually experienced, every start month since 1990

₱1,000 a month for 60 months · ending value ÷ total paid in · industry proxy, 381 windows

	Fund only	With glidepath
Median	1.33×	1.27×
Worst 5% of windows	0.92×	0.94×
Worst window	0.65×	0.87×
Ended below what was paid in	11%	9%

Worst window, ₱60,000 paid in: **₱38,750** fund only, **₱51,984** with the glidepath. The glidepath gives up some upside: median 1.33× → 1.27×.

Fund level	Investor level (proposed)
One shared global equity mandate	A personal goal date and allocation
Manager selects and re-weights stocks	Platform redeems some Firsts Fund units and reinvests the proceeds in a lower-risk fund
Active management continues	Exposure falls as the goal approaches

Illustrative schedule only: from 24 months before the goal, the target equity share falls in a straight line to 20%. Transfers use redemption proceeds, at a gain or a loss. Lower risk is not a guarantee.

Proxy: US industry returns, in pesos, after fee and costs; lower-risk fund modelled as US T-bills in pesos · investor outcomes are reported separately from fund performance · the glidepath is a proposed platform feature, not an existing BPI App function

AGAINST WHAT A YOUNG FILIPINO CAN BUY TODAY

Compare the structure, not a simulated return

Product	Structure	Minimum	5 years, a year
BPI Global Equity Fund-of-Funds	Buys 11 other funds; 1.50% plus their fees	₱1,000	7.15% (live)
BPI Philippine Equity Index Fund	Passive, 32 PSEi names, 1.50%	₱1,000	0.52% (live)
Pag-IBIG MP2	Government savings, tax-free	₱500	7.1% (live)
Firsts Fund (proposed)	31 direct holdings, 14 markets, one 1.50% fee layer	₱100	Not yet live

Where we win: one fee layer instead of two, holdings you can name, a minimum a first-jobber can meet.

Where MP2 wins: goals under five years away. Our suitability step sends those savers to a lower-risk product.

What we don't claim: a live return. Ours is history with hindsight (25.0%); the 36-year industry proxy (context only) made 12.0%.

Comparison funds: BPI Wealth and Pag-IBIG disclosure statements, as in our Phase 1 fact sheet · Firsts Fund is a proposal; benchmark and live performance to follow

KEY RISKS WE STATE FIRST

What can go wrong, and what we do about it

Risk	What we do, and what remains
Equity losses	In the 36-year proxy, the worst 12 months lost 27% and the worst fall was 44%. No protection is promised; plan on losses in bad years.
Hindsight	The five-year 25.0% uses today's selections. The calculator uses balanced assumptions, not this number.
Concentration	Networks at the 25% limit; data-centre build-out 10.9%; Saudi Arabia 10.9%; Chinese state telecoms 6.6%. All reported.
Currency	About 92% is in non-peso assets, unhedged. Peso strength lowers peso returns.
Liquidity & costs	14 markets: trading costs modelled at 0.21% a year, withholding about 0.37%; small listings capped by volume.
Data & judgment	One ratio vendor; sub-industries assigned by the team; stress shocks are our estimates. All rules published and re-run quarterly.

Risk figures: industry proxy 1990–2026 and current portfolio · withholding rates approximate, to be confirmed by tax counsel

Q&A PREPARATION

Six questions we expect, with our answers

Why so many telecoms?

Eight passed merit and diversification tests; the 25% type limit caps the group, so each gets less than its risk share.

Why only 1–2% in chips?

They swing 42–63% a year. Equal weighting would have earned more since 2021 and fallen further; we chose the method before testing.

Isn't 25.0% too good to be true?

Yes, as a forecast. It is today's portfolio looking back. The 36-year proxy made 12.0%, about the market.

What if a company's debt or cash flow turns?

Quarterly review re-runs M and V on current data; a failure moves it to the watchlist or out. Every exit is logged.

Why hospitals now?

Healthcare infrastructure is hard-to-replace capacity; leaving it out was a gap in our theme. They passed the same tests.

Why should a Filipino own Saudi or Mexican stocks?

Their salary and savings already ride on one economy. A global fund spreads that, and they still invest in pesos.

FIRSTS FUND • IN THREE SENTENCES

What it owns: essential, hard-to-replace capacity anywhere in the world, but only where the price and the balance sheet hold up.

How it chooses: M for eligibility, V for the investment case, P for a weight and a holdings count that come out of the process.

What it offers: not the highest return, but a path a young Filipino can stay on, five years and longer.

“Fund your firsts.”

A proposal by Team Los Angeles 76ers
Not an existing BPI product